

A Short Analysis of Nintendo's Financial Performance (2021-2025)

Executive Summary

This report contains a short analysis of Nintendo's financial performance between 2021 to 2025 based on Nintendo's own 2025 Annual Report. The analysis looks at each fiscal year and considers revenue, operating profit, net profit, cash & equivalents, and total assets, taking account into trends and the current profitability of the Nintendo Switch ecosystem.

Some key findings:

- Revenue declined considerably in FY2025
- Operating profit has also received a substantial decrease in FY2025
- Through large cash reserves, Nintendo maintains a strong financial position
- As the Nintendo Switch enters its 9th year, Nintendo prepares for the transition to the Nintendo Switch 2.

Revenue

Revenue declined from ¥1.671 trillion to ¥1.164 trillion, a 30.3% decrease.

Observation: Nintendo has seen a noticeable slowdown in their business compared to the previous fiscal year.

Operating Profit

The operating profit declined from ¥528,941 million to ¥282,553 million, a 46.5% decrease.

Observation: Profitability declined at a faster rate than revenue did because Nintendo experienced lower sales while investing in research and development.

Cash Position

Cash and cash equivalents increased from ¥853,432 million to ¥1,414,121 million (¥1.414 trillion), a 65% increase.

Observation: Despite losses in revenue and profits, Nintendo maintains strong financial stability through cash reserves.

Nintendo Switch Business Analysis

Metric	2024	2025	%Change
Hardware Units Sold	15.70 million	10.80 million	-31.20%
Software Units Sold	199.76 million	155.41 million	-22.20%
Digital Sales	¥443.5 billion	¥326 billion	-26.50%

Hardware Sales

Hardware sales experienced the largest decline, a 31.2% decrease since 2024.

Observation: The Nintendo Switch has entered its 9th year on the market, reducing demand for the console due to the announcement of the Nintendo Switch 2.

Software Sales

Software sales also declined, but remain strong, with a 22.2% decrease since 2024.

Observation: Despite the release of major first party titles like *The Legend of Zelda: Echoes of Wisdom* and *Mario Party Jamboree*, software sales declined considerably from FY2024, which benefitted from titles like the long awaited *The Legend of Zelda: Tears of the Kingdom* and *Super Mario Bros. Wonder*, which added fresh takes on the platforming.

Digital Sales

Digital sales have also declined, a 26.5% decrease since 2024.

Observation: Fewer digital game purchases and downloadable software sales may have contributed to this decline, which coincides with the decline in software sales.

Key Findings

- Nintendo experienced significant decreases in revenue and profit during fiscal year 2025
- The Nintendo Switch platform is well into the later years of its life cycle, which accounts for more decreases than previous fiscal years.
- Nintendo maintains strong financial strength through their large cash reserves and a strong balance sheet.

- The announcement of the Nintendo Switch 2 may have influenced customers' purchasing behavior.

Conclusion

Although revenue declined by 30.3% and operating profit declined by 46.6% in FY2025, Nintendo remains financially strong through their cash reserves, invaluable IP, and the announcement of the Nintendo Switch 2 providing further opportunities for growth.

Declines appear to be mostly related to hardware and software sales compared to 2024, which at least benefited from major software releases. Consumer anticipation for Nintendo's next-generation hardware may have contributed to lower hardware and software demand during the fiscal year.

Nintendo still maintains a strong cash position and continues to invest in future projects and technologies.